

SUBSTITUTE FOR
HOUSE BILL NO. 5152

A bill to amend 1961 PA 236, entitled
"Revised judicature act of 1961,"
by amending section 3208 (MCL 600.3208) and by adding sections 3214
and 3222.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 3208. Notice that ~~the~~**a** mortgage will be foreclosed **under**
2 **this chapter** by a sale of the mortgaged premises, or ~~some~~ part of
3 ~~them, shall the premises, must~~ be given by ~~publishing~~**doing all of**
4 **the following:**

5 **(a) Publishing** the ~~same~~**notice** for 4 successive weeks at least
6 once in each week ~~in~~ in a newspaper published in the county where
7 the premises included in the mortgage and intended to be sold, or
8 ~~some part of them, the premises, are situated.~~**located.** If no



1 newspaper is published in the county, the notice ~~shall~~**must** be
 2 published in a newspaper published in an adjacent county. ~~In every~~
 3 ~~case within~~

4 (b) For residential property described in section 3214(9),
 5 before the first publication of the notice under subdivision (a),
 6 recording a true copy of the notice with the register of deeds for
 7 the county or counties in which the premises are located.

8 (c) Not later than 15 days after the first publication of the
 9 notice under subdivision (a), ~~posting~~ a true copy ~~shall be posted~~
 10 ~~of the notice~~ in a conspicuous place ~~upon~~**on** any part of the
 11 premises described in the notice.

12 Sec. 3214. (1) Except as provided in subsection (10), if a
 13 mortgagor, the mortgagor's heirs or personal representative, or any
 14 person that has a recorded interest in the mortgaged premises that
 15 was obtained before a notice of foreclosure is recorded under
 16 section 3208(b) conveys the mortgaged premises after the notice of
 17 foreclosure is recorded and before the foreclosure sale is
 18 conducted under section 3216, the grantee is liable to the grantor
 19 for damages as provided in this section unless the grantee provides
 20 a notice of rights that satisfies all of the requirements of
 21 subsection (2) to the grantor before execution of the instrument of
 22 conveyance, but not before the cooling-off period under subsection
 23 (3) has elapsed.

24 (2) All of the following apply to a notice of rights required
 25 under subsection (1):

26 (a) The notice must be a separate document from the instrument
 27 of conveyance and any other document.

28 (b) The notice must be printed in not less than 14-point
 29 boldfaced type.



1 (c) The notice must be signed and dated by each grantor.

2 (d) A copy of the fully executed notice, signed and dated by
3 all parties, must be provided to each grantor at the time of
4 signing.

5 (e) Before presenting the notice to the grantor for signature,
6 the grantee must complete all blanks in the notice, including all
7 property value disclosures required by the notice language under
8 subsection (8). A notice presented with any required blank unfilled
9 does not satisfy the requirements of this section.

10 (f) The notice must identify the property by street address
11 and by each tax parcel identification number assigned to the
12 property. If the property consists of more than 1 parcel, the
13 notice must list every parcel identification number. If no street
14 address or parcel identification number has been assigned, the
15 notice must include the legal description of the property. A good-
16 faith error in, or omission of, a parcel identification number does
17 not, by itself, make the notice noncompliant or give rise to
18 liability under subsection (5) if the property is otherwise
19 reasonably identified in the notice.

20 (3) A grantee shall not present an instrument of conveyance
21 subject to this section, or an agreement, option, or contract to
22 convey an interest subject to this section, to the grantor for
23 execution before 7 days after the grantor signed the notice of
24 rights required under subsection (1). An instrument of conveyance,
25 or an agreement, option, or contract to convey an interest,
26 executed in violation of this 7-day cooling-off period is a per se
27 willful violation under subsection (5)(c). This 7-day cooling-off
28 period is mandatory and cannot be waived.

29 (4) The existence of a notice signed under this section is not



1 a defense against a claim of fraud, duress, misrepresentation, or
2 unconscionability, and does not preclude any other remedy at law or
3 equity available to the grantor.

4 (5) A grantee who fails to provide a notice of rights as
5 required under subsection (1) is liable to the grantor for damages
6 as follows:

7 (a) The measure of damages is the fair market value of the
8 premises at the time of conveyance less the outstanding mortgage
9 balance as stated in a notice of foreclosure recorded under section
10 3208(b) less the consideration actually paid by the grantee to the
11 grantor. As used in this subdivision, "consideration actually paid"
12 means cash or cash equivalent actually received by the grantor at
13 or before closing, not including any amounts paid by the grantee
14 directly to satisfy the mortgage or other liens encumbering the
15 premises.

16 (b) The grantor bears the initial burden of establishing a
17 reasonable estimate of the fair market value of the premises at the
18 time of conveyance by competent evidence. Competent evidence
19 includes, but is not limited to, a retrospective appraisal by a
20 licensed appraiser and comparable sales data for similar properties
21 in the same area within a reasonable time of the conveyance. Upon
22 the grantor establishing a reasonable estimate of fair market
23 value, the burden shifts to the grantee to rebut that estimate by a
24 preponderance of the evidence.

25 (c) If the court finds that the violation was willful, the
26 court shall award 2 times the damages calculated under subdivision
27 (a). A violation is presumed willful if any of the following apply:

28 (i) The grantee is a person other than an individual, and the
29 grantee's stated or apparent business purpose involves acquiring



1 distressed or foreclosed properties.

2 (ii) The grantee, or a beneficial owner or controlling person
3 of the grantee, has acquired more than 1 interest in mortgaged
4 premises during a foreclosure gap period within the 3 years
5 preceding the conveyance at issue.

6 (iii) The notice of rights was backdated, as established by any
7 evidence, including, but not limited to, document metadata, witness
8 testimony, or inconsistency with other transaction documents.

9 (iv) The grantee took affirmative steps to prevent the grantor
10 from seeking legal counsel, including, but not limited to,
11 requiring same-day signing, misrepresenting the nature of the
12 documents, or representing that the notice of rights was not
13 required.

14 (v) The grantee failed to record the instrument of conveyance
15 and the notice of rights not later than 120 days after execution.

16 (d) In addition to damages under subdivision (a) or (c), the
17 court shall award the grantor reasonable attorney fees and costs if
18 the grantor prevails.

19 (6) An individual who is a beneficial owner of, or who
20 exercises control over the management or operations of, an entity
21 that is subject to this section is jointly and severally liable
22 with the entity for all damages and attorney fees awarded under
23 this section. A beneficial owner or controlling person is presumed
24 to have had actual knowledge of the recorded notice of foreclosure
25 at the time of the conveyance. This presumption may be rebutted by
26 clear and convincing evidence.

27 (7) It is an affirmative defense to liability under this
28 section that the grantee had no actual knowledge of the recorded
29 notice of foreclosure at the time the instrument of conveyance was



executed. For purposes of this subsection, a grantee who conducted a bona fide search of the register of deeds index before closing and found no recorded foreclosure notice is presumed to have had no actual knowledge of the pending foreclosure.

(8) A notice of rights required under subsection (1) must contain the following language:

NOTICE TO SELLER: READ THIS DOCUMENT CAREFULLY.

YOU ARE SELLING YOUR HOUSE WHILE IT IS IN FORECLOSURE. THIS IS A LEGAL AND FINANCIALLY SIGNIFICANT DECISION. YOU SHOULD SEEK LEGAL COUNSEL OR CONTACT A HUD-CERTIFIED HOUSING COUNSELOR BEFORE SIGNING ANY DOCUMENTS.

PROPERTY THIS NOTICE CONCERNS

STREET ADDRESS: _____

TAX PARCEL IDENTIFICATION NUMBER(S):

(IF THIS PROPERTY CONSISTS OF MORE THAN ONE PARCEL, LIST EVERY PARCEL IDENTIFICATION NUMBER ABOVE. THIS NOTICE COVERS ALL PARCELS LISTED.)

LEGAL DESCRIPTION (REQUIRED ONLY IF NO STREET ADDRESS OR PARCEL NUMBER HAS BEEN ASSIGNED; MAY BE ADDED IN ANY CASE):

PROPERTY VALUE DISCLOSURE (TO BE COMPLETED BY THE BUYER)

1. CURRENT STATE EQUALIZED VALUE (SEV): \$ _____

(This amount is a matter of public record available from the local assessor.)

2. APPROXIMATE MARKET VALUE (SEV x 2): \$ _____

(Multiplying the SEV by 2 provides an estimate of the property's market value. This figure is an estimate only and may not reflect actual market value. You are encouraged to obtain an



independent appraisal before signing.)

3. PURCHASE PRICE OFFERED: \$ _____

4. OUTSTANDING MORTGAGE BALANCE FROM FORECLOSURE NOTICE:

\$ _____

(Amount claimed to be due on the mortgage at the date of the notice, as published under section 3208 of the revised judicature act of 1961, 1961 PA 236, MCL 600.3208.)

5. ESTIMATED EQUITY FORFEITED (Line 2 MINUS Line 4 MINUS Line 3): \$ _____

(This is the approximate net amount of equity you are giving up, after accounting for the purchase price you are receiving.)

This document serves as a formal notice of certain rights that will be forfeited upon the sale of this property. By signing a deed and completing the sale of the property, you will be waiving and relinquishing rights you may have under statute, as follows:

1. Right of Redemption: By selling the property, you permanently waive any and all rights to redeem or reclaim the property. The right of redemption allows a mortgagor, the property owner, to reclaim a foreclosed property by paying off the outstanding debt within a legally specified redemption period. This right is irrevocably forfeited upon your completion of the sale.

2. Right to Occupancy During the Redemption Period: You further acknowledge that any rights to remain in the property during the redemption period will no longer be available to you. Once the conveyance is complete, you forfeit any and all rights to continue occupying the property.

3. Right to Surplus Proceeds: Your home may be worth more than the outstanding balance of your mortgage. If the home is sold at public auction, and the sale price is greater than the balance of



1 the mortgage, you may be entitled to collect the remaining sale
2 proceeds. By selling the property before the public auction, you
3 will have no right to collect the surplus proceeds that may have
4 resulted from the auction sale.

5 By signing a deed or instrument of conveyance, which by law
6 may not be presented to you for signature until at least 7 days
7 after the date you sign this notice, you will be waiving all of the
8 above rights provided to you by statute.

9 YOU HAVE A 7-DAY COOLING-OFF PERIOD.

10 BY LAW, YOU CANNOT BE ASKED TO SIGN THE DEED OR INSTRUMENT OF
11 SALE UNTIL 7 DAYS AFTER YOU HAVE SIGNED THIS NOTICE. THIS PERIOD IS
12 TO GIVE YOU TIME TO UNDERSTAND YOUR RIGHTS AND SEEK HELP.

13 WARNING: THIS DOCUMENT MAY NOT BE BACKDATED. SIGNING THIS
14 DOCUMENT WITH A FALSE DATE IS FRAUD UNDER MICHIGAN LAW AND MAY
15 RESULT IN CRIMINAL PROSECUTION AND CIVIL LIABILITY.

16 (9) This section applies only to residential property that
17 does not exceed 4 units. For purposes of this section, property
18 that is used in part for nonresidential purposes is residential
19 property only if the residential use is the principal use of the
20 property.

21 (10) This section does not apply if the grantee is the person
22 foreclosing the mortgage or is a person that has an interest in the
23 property that is subordinate to the interest of the person
24 foreclosing the mortgage.

25 (11) It is an affirmative defense to liability under
26 subsection (5) that the grantee provided the grantor a notice of
27 rights that contained all completed property value disclosures
28 required under subsection (8), the grantor signed and dated the
29 notice, the cooling-off period under subsection (3) was observed,



1 and the defect did not mislead or prejudice the grantor.

2 (12) Not later than 30 days after execution of an instrument
3 of conveyance that is subject to this section, the grantee shall
4 record the instrument, with the fully executed notice of rights
5 required under subsection (1) attached, with the register of deeds
6 for the county or counties in which the premises are located.

7 (13) A grantee that fails to comply with subsection (12) is
8 liable to the grantor for a civil penalty of \$50.00 for each day
9 the failure continues, beginning on the thirty-first day after
10 execution and ending on the date the instrument and attached notice
11 are recorded, not to exceed \$25,000.00 for each instrument, and
12 liable for reasonable attorney fees and costs if the grantor
13 prevails. A penalty under this subsection is in addition to, and
14 not instead of, any liability under subsection (5).

15 (14) The period of limitations for an action under subsection
16 (5) does not begin to run until both the instrument of conveyance
17 and the notice of rights required under subsection (1) are recorded
18 as required under subsection (12).

19 Sec. 3222. If a notice of foreclosure is recorded under
20 section 3208(b) and a sale scheduled in a notice under section 3212
21 is cancelled by the party foreclosing the mortgage, a notice
22 cancelling the notice of foreclosure must be recorded with the
23 register of deeds for the county or counties in which the premises
24 are located not later than 30 days after the sale is canceled.

25 Enacting section 1. This amendatory act does not take effect
26 unless House Bill No. 5153 of the 103rd Legislature is enacted into
27 law.

